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# Volkswagen Group Sales Analysis 2024 - Executive Briefing Document

# 1. EXECUTIVE SUMMARY

In 2024, Volkswagen Group's global vehicle deliveries totaled approximately 9.03 million units, reflecting a slight overall decline of 2% compared to 2023. This downturn is principally attributed to a 3% decrease in all-electric vehicle (EV) sales, despite a modest 5% growth in plug-in hybrid (PHEV) deliveries. Regionally, the Group's performance was heterogeneous: strong growth was recorded in the Americas--6% in North America and 15% in South America--while Western and Central & Eastern Europe markets remained largely stable with minor fluctuations. The Middle East and Africa also contributed positively with a 6% increase. Conversely, Volkswagen faced significant challenges in Asia, particularly in China and the broader Asia-Pacific region (excluding China), where deliveries fell sharply by 10% and 18%, respectively. These declines in critical Asian markets have materially impacted Volkswagen's overall sales performance and underscore the strategic importance of these regions for future growth. Furthermore, the contraction in all-electric vehicle sales signals a pressing need to reassess and strengthen Volkswagen's EV strategy to align with evolving global market demands and competitive dynamics.

## 2. KEY ATTENDEE BACKGROUND

*Note: Specific attendee details are not provided in the calendar context. The following outlines typical key stakeholders expected at this meeting based on the topic.*

- **Chief Sales Officer (CSO):** Responsible for global sales strategy and execution, directly accountable for meeting delivery targets and regional sales performance.
- **Head of Regional Sales (Americas, Europe, Asia-Pacific):** Oversee regional market dynamics, customer engagement, and dealer network performance. Critical for interpreting regional sales trends and challenges.
- **EV Strategy Lead:** Focuses on electric vehicle market penetration, product portfolio alignment, and innovation to drive growth in the EV segment.
- **Market Intelligence & Analytics Director:** Provides data-driven insights on sales trends, competitive benchmarking, and market forecasts.
- **Finance Representative:** Evaluates financial implications of sales performance and guides resource allocation for strategic initiatives.
- **Product Planning and Development Lead:** Engages in aligning product offerings with market demand, particularly in EV and PHEV segments.

### 3. DETAILED DEVELOPMENTS & FINDINGS

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**Overall Deliveries:** Volkswagen Group delivered 9.03 million vehicles in 2024, down 2% from 2023.

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#### **Powertrain Segment Performance:**

- **All-Electric Vehicles (EVs):** Sales declined by 3%, indicating a contraction in market share or demand within this segment.

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**Plug-in Hybrids (PHEVs):** Experienced a 5% growth, suggesting a moderate shift or preference toward hybrid technology.

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#### **Regional Sales Performance:**

- **North America:** Deliveries increased by 6%, signaling robust market penetration and consumer demand.

- **South America:** Notable 15% growth, representing a strong expansion in this emerging market.

- **Western Europe and Central & Eastern Europe:** Markets remained relatively stable with minor decreases or slight growth, indicating market maturity and steady demand.

- **Middle East and Africa:** Recorded a positive increase of 6%, reflecting growing market opportunities.

- **China:** Deliveries declined by 10%, marking a significant setback in Volkswagen's largest and strategically critical market.

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**Asia-Pacific (excluding China):** Suffered an 18% decline, representing the most severe regional drop and highlighting substantial challenges.

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#### **Market Impact:**

- The decline in key Asian markets, especially China, heavily influenced the overall sales downturn.

- The reduction in all-electric vehicle sales contrasts with global trends favoring electrification, suggesting competitive pressures or strategic gaps.

## 4. IN-DEPTH DISCUSSION POINTS

- **Strategic Importance of Asian Markets:**

- China's 10% delivery decline is critical given its status as Volkswagen's largest single market. Understanding underlying causes--whether competitive, regulatory, or consumer preference shifts--is essential.

The 18% drop in the broader Asia-Pacific region compounds risks to growth and requires urgent strategic review.

- **Electric Vehicle Strategy Challenges:**

- The 3% decline in EV sales amid a global push for electrification indicates potential misalignment with market expectations or competitive offerings.

Contrasting growth in PHEVs (+5%) may reflect consumer hesitancy toward full EV adoption or gaps in charging infrastructure and vehicle range.

- **Regional Growth Opportunities:**

- Strong delivery growth in South America (15%) and North America (6%) suggests these regions could be leveraged for compensatory growth.

Stability in Europe and positive trends in Middle East and Africa provide a foundation for incremental gains.

- **Market Dynamics and Competitive Landscape:**

- The mixed regional performance underscores the need for tailored regional strategies rather than a one-size-fits-all approach.

The decline in Asia-Pacific markets may be influenced by increasing competition from local manufacturers, changing regulatory environments, or economic factors.

- **Operational and Product Portfolio Considerations:**

- Evaluating product mix adjustments to capitalize on PHEV growth while reinvigorating the EV lineup.
- Assessing dealer network effectiveness and after-sales support in underperforming regions.

## 5. CRITICAL QUESTIONS

1. What are the primary factors driving the 10% decline in China and the 18% drop in the Asia-Pacific region excluding China?
2. How can Volkswagen accelerate growth in the all-electric vehicle segment to reverse the current 3% decline?
3. What specific strategies can be implemented to leverage the strong growth in South America and North America to offset losses in Asia?
4. How do competitive dynamics and regulatory changes in key markets impact Volkswagen's sales performance?
5. Should Volkswagen recalibrate its product portfolio to emphasize plug-in hybrids given their modest growth, or double down on full EVs?
6. What investments or partnerships are necessary to strengthen Volkswagen's position in the Asian markets, particularly China?
7. How can Volkswagen enhance its market intelligence and customer insights to better anticipate and respond to regional market shifts?
8. What operational improvements are needed in sales, marketing, and after-sales support to improve delivery figures in underperforming regions?

## 6. ACTION ITEMS

- **Comprehensive Market Analysis in Asia:**

- Initiate a detailed investigation into the causes behind the sales decline in China and Asia-Pacific excluding China.

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Benchmark against competitors and analyze regulatory, economic, and consumer behavior factors.

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### **Electric Vehicle Strategy Review:**

- Conduct a strategic review of the EV product portfolio and market positioning.
- Identify gaps in technology, range, pricing, and infrastructure support.

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Develop targeted initiatives to boost EV sales, including marketing campaigns and dealer incentives.

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### **Regional Growth Optimization:**

- Develop tailored growth plans for South America and North America to maximize momentum.

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Explore opportunities for product localization and enhanced customer engagement in these regions.

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### **Product Portfolio Adjustment:**

- Evaluate the balance between EV and PHEV offerings in line with market demand trends.

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Consider accelerating development and launch of new PHEV models where growth is evident.

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### **Strengthen Market Intelligence Capabilities:**

- Enhance data analytics and consumer insights functions to provide real-time market feedback.

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Implement regional dashboards for continuous monitoring of sales performance and market trends.

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### **Operational Enhancements:**

- Review and optimize sales and after-sales networks in underperforming regions.

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Implement training and support programs for dealers to improve customer experience and delivery rates.

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### **Stakeholder Communication:**

- Prepare detailed reports and presentations summarizing findings and action plans for executive leadership.
- Schedule follow-up meetings to track progress on action items and adjust strategies as needed.

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